REPRODUCED AT THE NATIONAL ARCHIVES

DECLASSIFIED
Authority NND 913309
By EE NARA Date 11/27/13

TOP SECRET
COPY NO. 5
OF 5 COPIES

August 31, 1949

MEMORANDUM FOR MR. WILDS:

Subject: Draft Paper on Formosa

While I agree generally with the reasoning contained in this paper, I should like to make two suggestions. In the first place, the paper brings out once again the fundamental difficulty of acting in a specific situation with regard to China before we have determined our fundamental policy toward the Chinese Communists. We still have not decided whether to oppose them openly, to oppose them covertly and increase their troubles, or to try to make some deal and establish relations with them as if to woo them away from the USSR.

In regard to specific courses of action relative to Formosa, there is one possibility which is not covered in the draft and which seems to me to be worth consideration. Is it not conceivable that an approach could be made to the Generalissimo, possibly through Quirino, suggesting that the Chinese take the initiative in calling the UN's attention to the status of Formosa and the threat to its security. The Chinese statement could emphasize as much as they please of their right to Formosa, but it could recognize the legal status which is indeterminate until a peace treaty with Japan has been concluded. The Chinese Government could then say that, pending the formal legalization of the return of Formosa to Chinese sovereignty, it has been occupying the Island as a kind of trustee for the nations that defeated Japan. It could invite the UN to send a commission to assist in the administration of the Island. Such a commission could include all of the powers on the FEC including the Soviet Union. The advantages which the Soviet Union would derive from the presence of its representatives in the Island would be less than they now derive from the unchecked activities of the CCP. Experience in Korea and in Palestine has indicated that the presence of a UN commission on the spot has some deterrent effect and also helps to make the record clearer in case of aggression.

I recognize that it would be difficult for the Chinese Nationalists to publicly proclaim their bankruptcy in this way

but it

REPRODUCED AT THE NATIONAL ARCHIVES

DECLASSIFIED
Authority NND 913309
By EE NARA Date 11/27/96

but it is not inconceivable that they would do so in desperation in order to deny the Island to the communists. If the approach from Quirino to Chiang is not a good one, I see no reason why the idea could not be delicately suggested to T. F. Tsiang, their representative on the Security Council. Perhaps the approach should be to Li Tsung-jen. If he made the appeal on behalf of the Government, it would be difficult for the Gimo to oppose it.

If some such approach were made, the suggestions under course of action #2 could be worked in.

In general, my feeling is that our position in the entire Far East would be better served if any action regarding Formosa could be taken multilaterally rather than unilaterally.

Philip C. Jessup
Ambassador at Large

S/A PCJ:e

TOP SECRET